Rs 0.30 lakh crore), Petroleum and Natural Gas (No. 75; Rs 0.37 lakh crore; basically LPG subsidy) and School Education (No. 59; Rs 0.59 lakh crore).

An expenditure of Rs 6.06 lakh crore of the total budgeted expenditure of Rs 30.42 lakh crore, or about 20 per cent, can be considered growth-oriented.

The budgetary allocation of Rs 5.49 lakh crore for 2020–21 for what essentially amounted to private goods and services exceeded the total redistribution expenditure budget. A big part of off-budget expenditure—Rs 1.90 lakh crore—also comes into this category, making total public expenditure on provision of private goods and services Rs 7.39 lakh crore for 2020–21.

The largest allocations are in the transportation sector for Roads and Highways (No. 84; Rs 0.92 lakh crore), Railways (No. 83; Rs 0.72 lakh crore), and Housing and Urban Affairs (Rs 0.25 lakh crore; essentially for metros). There are also significant allocations under Fertilizers (No. 6; Rs 0.71 lakh crore), Telecommunications (No. 13; Rs 0.66 lakh crore) and Higher Education (No. 59; Rs 0.40 lakh crore).

Total budgeted expenditures of Rs 18.27 lakh crore (about 60 per cent of the budgeted expenditure of Rs 30.4 lakh crore) was thus policy-oriented in Budget 2020–21.

Growth-Oriented Expenditure in Budget 2020–21 Was Quite Small

The government can best support growth by maintaining macroeconomic stability and encouraging economic agents to build productive and competitive businesses to grow the GDP of the country. The government is not the best contributor to growth when it tries to engage in production of private goods and services itself.

The government currently runs hundreds of programmes to support the production of goods and services, which can broadly be considered growth-stimulating. One can consider government expenditures on agriculture,